

Our Prop Firm Strategy: How We Make Failing Unlikely

Now that you understand this is a numbers game — the question becomes: **how do we actually play it?** If you just "trade normally," you will fail normally. This is the exact strategy we use to make failing statistically difficult.

CLEAR Repeatable strategy for every challenge	STRUCTURED Risk managed step by step	ADAPTIVE Behavior for every account condition	CONNECTED Everything from Week 9 in one system
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1

The Core Philosophy

Three principles that every decision in this strategy flows from

Most traders approach challenges trying to win. This strategy approaches challenges trying *not* to lose. That distinction sounds small. **It changes everything about how you execute.**

01 NOT BUILT TO PASS FAST Built to avoid failure. Speed is the enemy of survival.	02 PROFIT IS A BYPRODUCT When you stop blowing accounts, passing becomes inevitable.	03 SURVIVAL FIRST Every decision is filtered through one question: does this protect my account?
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If you stop blowing accounts, passing becomes inevitable over time.

2

Risk Per Trade — The Foundation Rule

The single number that determines whether you survive variance

Everything in this strategy is built on one number: **how much you risk per trade**. Get this wrong and no system in the world saves you. Get this right and variance becomes manageable instead of fatal.

RISK PER TRADE — WHAT HAPPENS DURING A LOSING STREAK

TRADE	LOSS \$	BALANCE	TRADE	LOSS \$	BALANCE
Loss #1	-\$260	\$12,740	Loss #1	-\$130	\$12,870
Loss #2	-\$255	\$12,485	Loss #2	-\$129	\$12,741
Loss #3	-\$250	\$12,235	Loss #3	-\$127	\$12,614
Loss #4	-\$245	\$11,991	Loss #4	-\$126	\$12,488
Loss #5	-\$240	\$11,751	Loss #5	-\$125	\$12,363
After 5 losses: -9.6% DD			After 5 losses: -4.9% DD		

Your risk per trade determines whether you survive variance.

3

The Risk Ladder — Adaptive Risk System

Risk adjusts to your account condition — not to your emotions

Static risk sizing treats every day the same. The Risk Ladder treats your account the way it actually is. **When you are down, you get smaller. When you are up, you earn the right to grow.** No emotional adjustments. Only mechanical, level-based responses.

THE RISK LADDER — YOUR ADAPTIVE RISK SYSTEM

0.5%

RISK

DEFENSIVE MODE Account down 4–5%

Focus: **SURVIVAL**

- Smallest possible size — no exceptions
- Only highest-quality setups qualify
- Stop the bleeding — protect remaining capital
- Do NOT try to recover fast — that kills accounts

▼ IF ACCOUNT IMPROVES ▼

1%

RISK

NEUTRAL MODE Account near breakeven

Focus: **CONSISTENCY**

- Standard position size — your default state
- Normal setup criteria applies
- No urgency — trade what the market gives you
- Build profit cushion methodically, not aggressively

▼ IF ACCOUNT IMPROVES ▼

1.25–1.5%

RISK

OFFENSIVE MODE Account up 3–5%

Focus: **PROGRESSION**

- Slight increase only — cushion earned this
- Never scale aggressively — cushion is not a license
- Same setup quality, slightly more exposure
- No emotional adjustments — ladder is mechanical

You earn the right to increase risk.

4

Daily Stop Rules — Hard Limits

We do not trade until failure. We stop before danger.

Most challenge failures do not happen in one catastrophic trade. They happen in the session after a bad day, when the trader stays on the platform trying to recover. **The daily stop rule is what prevents that session from existing.**

DAILY STOP RULES — HARD LIMITS, NON-NEGOTIABLE

2–2.5%

Daily loss limit

Stop trading the moment you hit this. Not after "one more trade." Now.

2 losses

Maximum per day

Two losses in a session = platform closed. Variance clusters. Step away.

No more

"One more trade"

This phrase has ended more challenges than any bad setup ever has.

We don't trade until failure. We stop before danger.

5

Trade Selection — A+ Setups Only

Fewer trades. Higher quality. Better outcomes.

The biggest mistake funded traders make is treating every setup as a valid trade. **Volume of trades is not an edge. Quality of trades is.** You are not paid to trade. You are paid to be right — and right means waiting for the setup that actually qualifies.

TRADE SELECTION — A+ SETUPS ONLY

WHAT QUALIFIES	WHAT DOES NOT QUALIFY
ORB — Opening Range Breakout — clean, confirmed	Boredom trade — Nothing is happening so you force one
S/R — Support / resistance confluences	Revenge trade — Taking a trade to recover a loss
Breakouts — Structure breaks with volume confirmation	"Almost" setup — Setup is close but not confirmed
FVG — Fair Value Gaps — imbalance entries	Impulse entry — No plan, no level, no reason

6

Behavior Rules — The Hidden Edge

The strategy works. Behavior determines if you reach that result.

Two traders can run the exact same strategy with opposite outcomes. The difference is not the setup criteria. **The difference is what they do when the system is tested.** These four behavior rules are what keep the strategy intact under pressure.

BEHAVIOR RULES — THE HIDDEN EDGE

NO strategy switching

You picked a system. Run it. Results need sample size to appear.

NO increasing risk after losses

That is revenge trading with extra steps. Size stays the same.

NO trading outside the plan

If it was not in the pre-market game plan, it does not exist.

NO forcing trades

Waiting is a position. Patience is a skill. Inaction is valid.

The edge is not the setup. The edge is consistency.

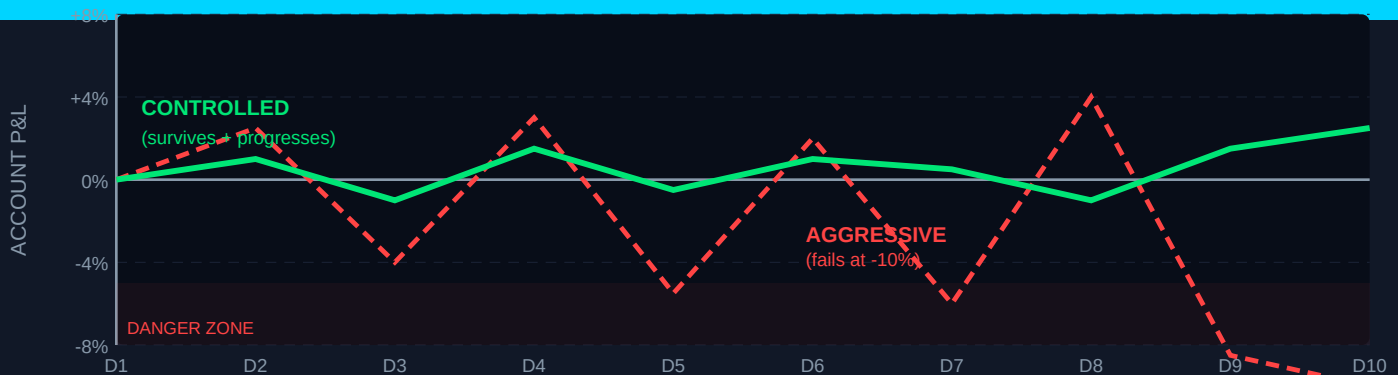
7

What This Looks Like in Practice

Slow, controlled, boring — and it survives

This strategy does not produce explosive days. It produces **survivable days**. The equity curve looks slow. There are losses. There are flat days. But it does not blow up. And over a 10–20 day challenge window, slow and steady reaches the target while aggressive gets eliminated.

WHAT THIS LOOKS LIKE IN PRACTICE — EQUITY CURVE COMPARISON



Controlled feels slow. But it finishes. Aggressive feels fast — until it does not.

WHAT THIS LOOKS LIKE IN PRACTICE — 10 DAY EXAMPLE

DAY	P&L	MODE	RISK	NOTE
Day 1	+1%	Neutral	1%	Clean ORB setup. Took profit at target.
Day 2	-1%	Neutral	1%	Setup triggered, SL hit. Process was correct.
Day 3	+1.5%	Neutral	1%	Two setups. Both worked. Stayed disciplined.
Day 4	-0.5%	Neutral	1%	One loss. Stopped after daily stop rule.
Day 5	+1%	Neutral	1%	Consistent execution. No forced trades.
Day 6	+1.5%	Offensive	1.25%	In profit cushion. Slight size increase.
Day 7	-0.5%	Offensive	1.25%	Loss in offensive — still within rules.
Day 8	+1%	Offensive	1.25%	Steady progression. No emotional moves.
Day 9	-1%	Neutral	1%	Pulled back from offensive. Sizing reset.
Day 10	+1%	Neutral	1%	Back to standard. Methodical execution.
Cumulative over 10 days:			+5.0%	Slow. Controlled. No dramatic swings. Still above target.

THIS STRATEGY IS NOT

Aggressive

Fast

Exciting

Built for big wins

THIS STRATEGY IS

Structured

Repeatable

Stable

Built to survive

This is how professionals operate. Quietly and consistently.

Follow this system exactly and you will not eliminate failure.

But you will reduce it dramatically.

And when failure becomes rare — success becomes inevitable over time.

— THE STRATEGY OPERATOR'S CODE —

- 01 I risk 0.5–1% per trade — the size that survives variance
- 02 I follow the Risk Ladder — account level determines my risk, not emotion
- 03 I stop at 2 losses in a day — no exceptions, no "one more"
- 04 I only take A+ setups — boredom and revenge are not a strategy
- 05 I do not switch strategies — consistency over time is the edge
- 06 I trade quietly and consistently — that is how professionals operate

